

Financial Market

- **Definition:** A market for the creation and exchange of financial assets (equity shares, debentures, bonds). It links savers and borrowers, transferring capital from those with surplus money to those in need.
- **Function:** Provides liquidity to financial instruments by offering a ready market for buying and selling, allowing investors to convert long-term investments into cash when needed.

Securities and Exchange Board of India (SEBI)

- **Established:** April 12, 1988, by the Government of India.
- **Status:** Given statutory status through an Act in 1992.

Objectives of SEBI

1. To regulate stock exchanges and the securities industry for orderly functioning.
2. To protect investor rights and interests, particularly individual investors, and to guide/educate them.
3. To prevent trading malpractices and balance self-regulation with statutory regulation.
4. To regulate and develop a code of conduct and fair practices for intermediaries (brokers, merchant bankers) to promote competitiveness and professionalism.

Functions of SEBI

- **Regulatory Functions:**
 1. Registration of brokers, sub-brokers, and other market players.
 2. Registration of collective investment schemes and Mutual Funds.
 3. Regulation of stockbrokers, portfolio exchanges, underwriters, merchant bankers, and stock exchange business.
 4. Regulation of takeover bids.
 5. Inspection, inquiries, and audits of stock exchanges and intermediaries.
 6. Levying fees for the Act's purposes.
 7. Exercising powers under the Securities Contracts (Regulation) Act 1956, as delegated by the Government of India.
- **Developmental Functions:**
 1. Training of securities market intermediaries.
 2. Conducting research and publishing information for market participants.
 3. Developing capital markets through a flexible approach.
- **Protective Functions:**
 1. Prohibition of fraudulent and unfair trade practices (e.g., misleading statements, manipulation, price rigging).
 2. Controlling insider trading and imposing penalties.
 3. Undertaking investor protection steps.
 4. Promotion of fair practices and code of conduct.

Money Market

- **Definition:** A market for short-term funds, dealing in monetary assets with a maturity period of up to one year.

Distinction Between Capital Market and Money Market

Basis	Capital Market	Money Market
Participants	Financial institutions, banks, corporate entities, foreign investors, retail investors	RBI, banks, financial institutions, finance companies
Instruments	Equity shares, debentures, bonds, preference shares	T-bills, trade bills, commercial paper, certificates of deposit
Investment Outlay	Does not require a huge financial outlay	Transactions entail huge sums of money
Duration	Long term	Short term
Liquidity	Liquid (marketable on stock exchanges)	Higher degree of liquidity (formal arrangements)
Safety	Riskier	Safer
Return	Higher return	Comparatively less returns

Distinction Between Primary Market and Secondary Market

Basis	Primary Market	Secondary Market
Trading Securities	New securities	Existing securities
Participants	Sold by the company directly	Exchanged between investors (indirectly)
Buy/Sale	Only buying	Both buying and selling

Basis	Primary Market	Secondary Market
Capital Formation	By the management of the company	By demand and supply of securities
Price Determination	Not fixed	By demand and supply of securities
Geographical Location	Local area	Local area

Functions of Stock Exchange

1. **Providing liquidity and marketability:** Offers a ready platform for trading existing securities, providing a continuous market for sale/purchase and converting long-term securities to short-term.
2. **Pricing of securities:** Helps determine real worth of securities through the interplay of demand and supply.
3. **Safety of transaction:** Well-regulated with defined legal framework, ensuring fair deals for investors.
4. **Contributes to capital formation:** Continuous buying and selling channels savings and investments to productive use, enhancing economic growth.
5. **Educating people about investment:** Through regulation and better trading practices, it promotes and encourages investment in ownership securities.
6. **Providing scope for speculation:** Provides a reasonable and controlled scope for speculation within legal provisions, necessary for liquidity and maintaining demand/supply.

Advantages of Electronic/Screen Based Trading System

1. **Transparency:** Participants can see all security prices in the market during transactions.
2. **Fixation of prices:** Increases information efficiency, helping in accurate price fixation. Computer screens display real-time price info and market developments.
3. **Increasing efficiency of operations:** Reduces time, cost, and risk of error.
4. **Improves market liquidity:** Allows participants from anywhere (country or abroad) to buy/sell securities through brokers, enabling more participants to trade and improving market liquidity.
5. **Single trading platform:** All trading centers nationwide are integrated into one platform, facilitating unified market operations.

Steps in the Trading and Settlement Procedure of Stocks

1. **Selection of Stock Broker:** Investors must select a broker, who is a member of the stock exchange, to buy/sell securities on their behalf as direct trading is not allowed.
2. **Opening of Demat account with the depository:** An investor must open a 'DEMAT' (Dematerialized) account, also known as a Beneficial Owner (BO) account, with a Depository Participant (DP) for holding and transferring securities in electronic format.
3. **Placing an order:** Investor places an order with the broker to buy or sell shares, providing clear instructions on quantity and price. An order confirmation slip is issued.
4. **Executing the order:** The broker's computer matches orders at the best bid/offer price. Once the price is met, the order is executed, and a trade confirmation slip is communicated to the investor.
5. **Settlement (T+2):** Investor delivers sold shares or pays cash for purchased shares immediately upon receiving the contract note or before the broker's payment/delivery to the exchange. Brokers can deliver shares in demat form directly to the investor's demat account. Cash is paid or securities delivered on the pay-in-day, before the T+2 day, when the deal is settled and finalized.